HSIF | EQUITY RESEARCH

NATIONAL FUEL GAS

DCF-based stock pitch & valuation review

NYSE: NFG • Energy / Integrated Natural Gas

MODEL-IMPLIED VALUE

$75.27

per share • uploaded DCF

CURRENT QUOTE

$80.82

Preliminary conclusion: DO NOT BUY on this DCF as currently built

Prepared from the supplied DCF workbook and stock-pitch template; external data updated 26 Oct 2026.

For educational / analytical discussion only; not individualized investment advice.

Executive summary | the thesis is not yet investable

CURRENT SHARE PRICE	UPLOADED DCF VALUE	DCF VS. QUOTE	CAPEX-ADJUSTED DIAGNOSTIC
$80.82	**$75.27**	**-6.9%**	**$35.72**
26 Oct 2026, intraday	as calculated in workbook	before model corrections	illustrative, not a target price

What supports a long-term NFG thesis

- Diversified natural-gas platform: upstream, gathering, pipeline/storage and regulated utility.
- FY2025 revenue grew to $2.28B; operating income was $813M.
- Recurring utility / pipeline cash flows can partially balance commodity exposure.

Why the current workbook does not support a BUY

- Forecast capex is set to $0 for all five forecast years, despite ~$918M FY2025 capex.
- The $150.92 “market value” input is stale / inconsistent with the current ~$80.82 quote.
- DCF uses FY2025–FY2029 estimates and 2024 historicals; it needs a current forecast refresh.

Recommendation: WATCH / REBUILD THE MODEL. Reassess only after capex, current financials, share count and terminal assumptions are refreshed.

The adjusted per-share figure is a sensitivity diagnostic: it replaces zero forecast capex with FY2025 actual capex for each forecast year while holding all other workbook assumptions constant. It is not a fully refreshed valuation.

Business description | an integrated natural-gas franchise

National Fuel Gas Company operates across three linked parts of the natural-gas value chain.

UPSTREAM & GATHERING

Exploration, development and production; gathering infrastructure in the Appalachian region.

PIPELINE & STORAGE

Interstate transportation and storage infrastructure.

UTILITY

Regulated natural-gas distribution in western New York and northwestern Pennsylvania.

FY2025 operating snapshot (USD)

TOTAL REVENUE	OPERATING INCOME	CAPITAL EXPENDITURE	NET INCOME
$2.28B	$813M	$918M	$519M
FY2025	FY2025 reported	FY2025	FY2025

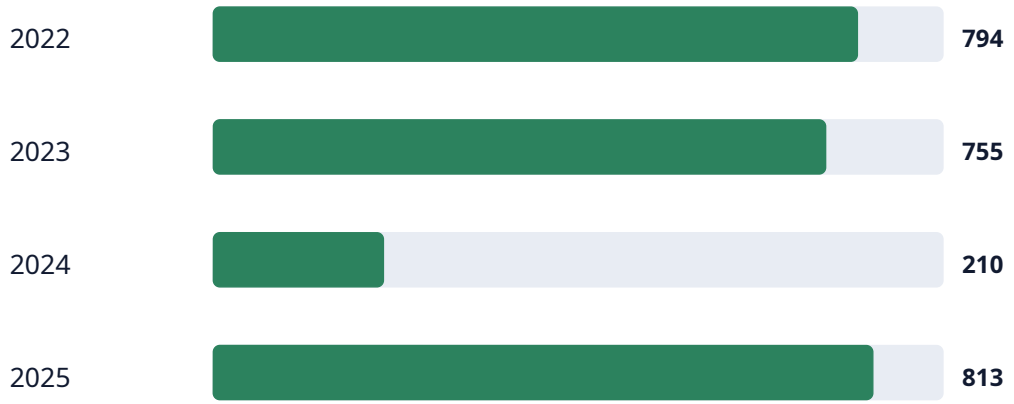
Source: National Fuel Gas FY2025 Annual Report / Financial Statistical Report. FY2025 results were not incorporated into the supplied DCF workbook.

Revenue and earnings | FY2024 was depressed by impairment

Revenue ($M)



Reported operating income ($M)



Key observation

- Revenue rebounded ~17% in FY2025 from FY2024.
- FY2024 operating income was unusually low, reflecting a $519M asset writedown.

Model implication

- Forecast should start from normalized, segment-level earnings—not a single depressed or stale year.
- FY2025 reported operating income and capex must replace the workbook's FY2024 base.

Source: supplied workbook (FY2022–FY2024) and National Fuel Gas FY2025 Annual Report. Figures in USD millions.

Industry outlook | natural gas has structural demand, cyclical pricing

Demand support

- Power generation and grid reliability needs.
- Industrial demand and LNG-linked market access.
- Gas infrastructure can provide balancing capacity.

Earnings cyclicality

- Upstream cash flow remains sensitive to realized gas prices.
- Basis differentials, production costs and hedging affect margins.
- Weather and storage levels can move short-term prices.

Regulated / midstream ballast

- Utility and pipeline assets may dampen some commodity volatility.
- Returns still depend on regulatory outcomes, volumes and rates.
- Capital intensity remains high across the portfolio.

Key forecast drivers to model explicitly

Driver	Why it matters
Henry Hub / realized gas price	Upstream revenue, EBITDA and free cash flow
Production volumes & decline rates	Required drilling capital and reserve replacement
Regulated rate base / allowed returns	Utility earnings visibility and growth
Growth + maintenance capex	Cash conversion and terminal value
Interest rates / WACC	Discount rate and valuation sensitivity

Industry framing is qualitative; no external gas-price forecast is embedded in the uploaded workbook.

Competitive positioning | integrated assets, plus a material separation plan

What differentiates NFG

Integrated footprint

- Upstream production and gathering can link resource development with owned infrastructure.
- Pipeline/storage and regulated utility add different earnings drivers.
- Regional focus in the Appalachian basin and surrounding northeastern U.S. markets.

Strategic catalyst: planned separation

Announced in October 2026

- Company announced a plan to separate Integrated Upstream and Gathering into an independent public company.
- Post-separation NFG is expected to focus on regulated utility plus interstate pipeline/storage.
- Management expects completion in 2H 2027; structure, timing and execution remain uncertain.

Valuation consequence: a single consolidated DCF may become less useful. A sum-of-the-parts framework should value the upstream business and the retained utility / pipeline business separately, then account for separation costs, tax treatment and distribution mechanics.

Source: National Fuel Gas / SEC exhibit announcing planned separation (published the week of 19 Oct 2026). See sources slide.

DCF methodology | the model uses FCFF and an exit multiple

Discounted cash flow architecture

1	**Revenue forecast**	4% annual growth in stable case
2	**Operating profit**	EBIT margin held at ~35.6%
3	**FCFF**	NOPAT + D&A − capex − change in NWC
4	**Discounting**	WACC of 8.16% over five years
5	**Terminal value**	5.76× FY2029E EBITDA exit multiple

Key model assumptions

Input	Workbook value
Stable revenue growth	4.0% p.a.
Stable EBIT margin	35.6%
Tax rate	25.7%
WACC	8.16%
Exit EV / EBITDA	5.76×
Debt / cash	$2.323B / $38M
Shares outstanding	92.3M

Important: the assumptions are from a workbook dated 3 May 2024. They should not be treated as current estimates without refresh.

Five-year forecast | free cash flow is overstated by missing capex

Workbook forecast (USD millions)

Metric	FY25E	FY26E	FY27E	FY28E	FY29E
Revenue	2,023	2,104	2,188	2,275	2,366
EBIT	720	748	778	809	842
EBITDA	1,102	1,168	1,204	1,258	1,305
FCFF as modelled	1,000	1,007	1,036	1,083	1,123
Forecast capex input	0	0	0	0	0

Why this matters

- FY2025 actual capex was $918M; FY2024 was $942M.
- Zero capex mechanically lifts FCFF by roughly $0.9B per forecast year.

Illustrative diagnostic

- With $918M capex substituted in each year, PV of forecast FCFF falls from $4,153M to about $503M.
- All other inputs held constant; terminal value is unchanged, so this is not a full revaluation.

Source: uploaded DCF workbook; FY2025 capex from National Fuel Gas FY2025 Annual Report.

Valuation | model headline value is not a defensible target price

WORKBOOK DCF VALUE
$75.27
per share

CURRENT QUOTE
$80.82
26 Oct 2026

WORKBOOK WACC
8.16%
model input

EXIT MULTIPLE
5.76×
EV / EBITDA

Enterprise value bridge (workbook)

Component	USD M
PV of forecast FCFF	4,153
PV of terminal value	5,079
Enterprise value	9,232
Less debt	(2,323)
Add cash	38
Equity value	6,947

Diagnostic effect of restoring capex

Illustrative value falls to ~$35.72/share

That is -56% versus the current quote, assuming FY2025 capex repeats annually and terminal value is unchanged.

This is a red-flag sensitivity, not a formal target price. A full model rebuild is required.

The workbook's $150.92 "market value" reference is inconsistent with the 26 Oct 2026 quote of ~$80.82 and should be replaced.

Risk factors | valuation, commodity and separation risks dominate

Risk	Probability	Impact	Why it matters / mitigation
Forecast capex omitted	High	High	Correct capex and maintenance/growth split; test capital intensity.
Gas price / basis volatility	High	High	Stress-test realized prices, hedges, production and basis differentials.
Separation execution	Medium	High	Model standalone entities, costs, taxes, debt allocation and timing.
WACC / terminal multiple	Medium	High	Run WACC × exit-multiple sensitivity; avoid point-estimate precision.
Regulatory / environmental	Medium	Medium	Track rate cases, permitting, methane rules and compliance spend.
Balance sheet / funding	Medium	Medium	Update debt, interest cost, maturities and post-separation capital structure.

Highest-priority action: rebuild the forecast and valuation before making a portfolio allocation decision.

Conclusion | watchlist, not a BUY recommendation today

RECOMMENDATION: WATCH / REBUILD MODEL BEFORE BUYING

What could make NFG attractive

- Diversified natural-gas asset base.
- FY2025 revenue and operating income recovery.
- Potential value-unlocking separation catalyst.

What must change first

- Restore realistic capex and working-capital forecasts.
- Refresh FY2025 actuals and FY2026–FY2030 outlook.
- Replace stale market price, debt and share assumptions.

Next valuation steps

- Build sum-of-the-parts valuation for post-separation NFG.
- Run WACC / exit multiple / gas price sensitivities.
- Compare valuation with peers and consensus.

Bottom line: NFG may merit further research, but the supplied DCF is not reliable enough to justify a BUY. The largest issue is not a subtle discount-rate choice—it is a missing ~$0.9B annual capex forecast.

This recommendation is based on model quality and valuation discipline, not a prediction that the stock must fall.

Sources, assumptions & important limitations

Source	Use in this presentation
Primary analysis file	HSIF_DCF_NFG.xlsx (uploaded workbook; DCF FCFF, EBITDA Comparables and historical financial statement tabs).
Presentation design	Stock Pitch Presentation Template.pptx (uploaded template; navy palette inspired by #041464).
Market price / range	StockAnalysis, National Fuel Gas Company (NYSE: NFG), accessed 26 Oct 2026; intraday quote ~$80.82 and 52-week range shown as $75.03–$97.06.
FY2025 actuals	National Fuel Gas Company, FY2025 Annual Report / Financial Statistical Report: revenue $2.278B; reported operating income $813M; net income $519M; capex $918.1M.
Strategic catalyst	National Fuel Gas Company / SEC exhibit, announcement of planned separation of Integrated Upstream and Gathering; announced October 2026, expected 2H 2027, subject to execution and other conditions.
Limitations	Not investment advice. Market data are time-sensitive. The workbook's assumptions are stale and internally inconsistent; adjusted capex scenario is a diagnostic only.

Reference URLs: stockanalysis.com/stocks/nfg/ ; nationalfuel.com/wp-content/uploads/documents/2025-Annual-Report.pdf ; sec.gov/Archives/edgar/data/70145/000119312526420980/d100431dex991.htm